

EXAM 7 – SPRING 2012

21. (2.25 points)

a. (1 point)

Describe two costs of financial distress that apply specifically to insurance companies.

b. (0.75 point)

Briefly describe three other potential costs of financial distress that might apply to a firm in any industry.

c. (0.5 point)

Explain why firms with higher market-to-book ratios or higher research and development expenditures may gain more value from risk management than other firms.

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Question 21 Sample Answer

Solution 1

a)

- 1) Rise in cost and insuring policyholders. If an insurer is deemed risky, the insurers will demand a greater discount for buying a policy, thus reducing premium without reducing assumed risk. Discount demand often greater than the expected loss from increased risk.
- 2) Sufficient capital is required by the state regulators for the insurer to operate. If the regulator requires more capital to be held when the company is in distress this capital will be more expensive to acquire, making matters even worse.

Solution 2

a)

- Insurers may have to write less business, thus possibly forgoing future profitable business
- Insurer may lose policyholders who expect a discount for assuming the increased risk of being with a distressed company

Solution 1

b)

- i. Issue of debt will be done at a higher yield since debt holders are less likely to be paid back.
- ii. Stocks are sold at a discount, since growth prospects are diminished.
- iii. Assets are sold at below market value since the seller can't wait for the optimal price and buyers know it.

Solution 2

b)

1. Agency problems – agent may not act for the mutual benefit of agent & principal
2. Regulation and taxation – stable outcomes may minimize taxes; could be a regulatory requirement for capital
3. Relationship w/ stakeholders – they prefer stable and predictable outcomes

Solution 1

- c) R&D is very capital intensive with long times to payout. R&D doesn't produce stable cash flow, so capital is needed to keep it going. Firms who need capital will benefit the most from risk management since they need to be in solid financial shape when they go to markets to acquire capital. Don't want these capital costs to be too high.

Solution 2

- c) These firms anticipate more growth opportunities & thus have more to lose. These firms are also lightly capitalized with few tangible assets, making financial distress even more costly. Riskier, so raising capital more expensive.

Examiner Comments

Candidates who answered with insurance specific costs of distress for part b. were not given credit if they had attempted to describe two costs of insurer-specific distress in part a.

Candidates who only mentioned the high value of "intangible assets" or "intellectual property" for part c. were not given credit.